

Meta Platforms, Inc.

META NASDAQ

Buy	\$728.85 ▲ 0.40%	12M Price Target \$820.00	52-Week Range \$520.26 – \$779.82	Market Cap \$1.86T
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META: Holding Near Highs, AI Spend Debate Looms

WHAT HAPPENED

- Quiet tape — META up 0.4% on light volume (7M shares vs 20M+ norm), which usually means institutions are sitting on their hands waiting for a catalyst (earnings late October). Stock is pinned near \$730, which is interesting because there's a massive put wall there — 19K puts traded at the \$730 strike, meaning big money is either hedging gains or betting on a short-term pullback right at this level.
- COO Javier Olivan dumped ~\$875K in shares last week. Not alarming by itself (execs sell for taxes, diversification), but it's "cluster selling" — multiple sales same day — and no insider is buying. Translation: nobody at the top thinks the stock is a screaming bargain here.

WHY IT MATTERS

Here's the setup: META is sitting at 80% of its 52-week range with options flow bullish (0.41 put/call ratio means way more people betting up than down), but that giant \$730 put block tells me smart money is buying insurance into earnings. That's not bearish — it's prudent. The bigger picture: Washington's tone on Big Tech has quietly shifted. The Trump administration's AI Action Plan (July 2025) and the push to beat China on AI means antitrust enforcement against META has deprioritized — the FTC's monopoly case is still alive but the political energy behind breaking up Meta has evaporated. That's a stealth tailwind nobody's pricing in. Meanwhile, Reality Labs is still bleeding \$15B+/year, so the entire bull case hinges on ad revenue staying strong enough to fund the AI capex arms race (~\$70B this year).

POLICY & POLITICAL WATCH

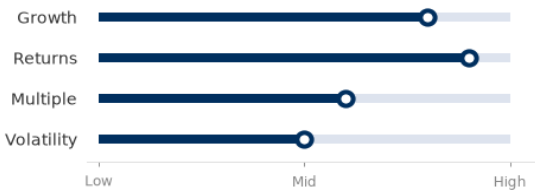
Two things to watch: (1) The EU's Digital Markets Act enforcement — Meta's "pay or consent" ad model got hit with another non-compliance ruling earlier this year, and additional fines could be announced in Q4. Each fine is small (~\$200M), but it threatens the European ad model long-term. (2) The ongoing debate in Congress over Section 230 reform (the law that shields platforms from liability for user content) — if a narrow carve-out passes for AI-generated content, META actually benefits because they have the compliance infrastructure smaller players don't. The friendlier Trump-era FTC and the AI-competitiveness narrative are net positives; the EU is the main regulatory headwind.

IS IT EXPENSIVE?

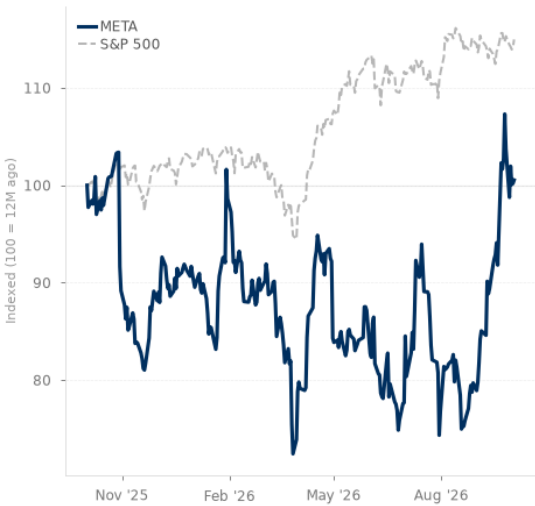
Key Data

Price (USD)	\$728.85
12M Price Target	\$820.00
Upside / (Downside)	+12.5%
Market Cap	\$1.86T
FY2026E Revenue	\$198M
FY2027E Revenue	\$228M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	26.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$780.00	\$740.00	\$690.00
6 Months	\$850.00	\$785.00	\$650.00
1 Year	\$920.00	\$820.00	\$620.00
2 Years	\$1100.00	\$900.00	\$580.00
5 Years	\$1600.00	\$1150.00	\$500.00
10 Years	\$2500.00	\$1700.00	\$450.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+1.28%) and Tech (+0.99%) leading — classic risk-on day. Tech's 5-day gain of +1.78% while Comm Services lags (-2.31% 5D) is notable: money is favoring hardware/semis/software over ad-based platforms.

COOLING OFF: Communications Services (META's sector) is the weakest 5-day performer. That's a headwind — META is holding up BETTER than its sector, which is a tell.

ROTATION WATCH: Money is rotating from ad-dependent names (GOOGL, META, SNAP) into AI infrastructure (semis, cloud, data centers) because that's where visible government and enterprise spending is flowing right now.

RELATED PLAY: If you think META's AI capex pays off, the picks-and-shovels winners are NVDA (chips), VRT (data center cooling), and the hyperscaler REITs like EQIX — they get paid regardless of whether META's AI bets work.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the biggest beneficiary of every dollar META spends on AI infrastructure — direct read-through.
- GOOGL (Alphabet): Won the DOJ case on structural remedies, now trading on AI/cloud strength — proof that antitrust risk fading = big tech re-rates.

META CONTEXT: META is OUTPERFORMING its sector (Comm Services -2.3% over 5 days, META roughly flat) — that's a strength signal. When a stock holds up while its sector sells off, it usually means institutional accumulation. Bullish setup into earnings.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — High conviction because the ad business is a cash fortress and antitrust risk has quietly faded; not 10/10 because AI capex is a legit "show me" story.

POSITION SIZE: 4-6% of portfolio — core holding, but leave room to add on dips.

ENTRY POINTS: \$690-710 is my add zone. If we get a market-wide risk-off day that drags META back to the 50-day moving average, that's your gift.

TIME HORIZON: 12-24 months. Catalyst #1 is Q3 earnings (late October) — ad growth confirmation. Catalyst #2 is any sign Reality Labs/AI monetization is materializing in 2027.

WHEN TO BAIL: Ad revenue growth under 12% YoY, or an EU ruling that forces structural changes to the ad model, or Zuck signals even higher capex without a revenue plan.

HEDGING: Simplest hedge — if you own 100 shares, buy one January \$650 put. Costs you a few bucks per share but protects against a 15%+ drawdown if earnings disappoint. Or pair-trade: long META, short SNAP (weaker ad player) to isolate META-specific upside.